

PROSPECTS OF THE GLOBAL ECONOMIC FINANCIAL CRISIS (LITERATURE REVIEW)

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ABSTRACT

The article presents an overview of the literature data on the development, history, and overcoming of the global economic financial crisis (GEFC). The prevalence of the financial crisis currently in many countries of the world, its level of development, the nature of preventive measures taken by economists, and overcoming this crisis remain an urgent problem today. According to research by economists, this is the first time in the last 10 years when, according to statistics, due to the global crisis, the economy in the United States shrank by 31.7%, in the UK - by 24%, in Spain - by 22.1%, in France - by 19.2%, in Turkey - by 9.9%, in Russia - by 8.5%, and in Azerbaijan - by 7.2%. It is for this reason that the countries of the world, including our republic, are taking various steps in the field of rescue from the financial crisis, purposefully using the material and financial resources available to them.

The countries of the world, as well as our Republic, have developed unique models for overcoming the crisis, and anti-crisis steps taken within the framework of these models, timely identifying the causes and nature of the crisis, reducing the scale of the GEFC, preventing possible price increases and damage.

Keywords: economic crisis, financial crisis, anti-crisis steps, technological progress, international trade relations, banking sector.

Introduction

Today, the study of the reasons for the weakening of economic growth as a result of the global financial crisis (GFC) and the factors that stimulate it still remains one of the topical issues. GFC is an extreme manifestation [4]. Of the interaction between the financial sector and the real economy. Regardless of internal or external causes, they can start in both the private and public sector. Crises can develop in various forms and quickly over a long period of time [5].

In recent years, it has been established that technological progress and innovation play an important role in the formation of GFC, along with traditional factors of production (land, labor and capital). By the middle of the 19th century, global crises were not caused by economic factors. These factors include wars, epidemics, natural disasters, etc. belongs [7].

A global GFC is not inevitable. Its scale and results prove once again that the pre-crisis functioning model of the world economy was incorrectly adjusted [6]. Any large-scale GFC occurring around the world and in individual countries causes an overestimation of the existing economic system. Therefore, GFC is in the center of attention of the international community, economists, politicians around the world [9].

By timely identifying the causes and nature of the crisis, reducing the scale and size, we prevent possible price increases and losses. Currently, the search for effective anti-crisis measures is difficult and important, thanks to which it is possible to get out of the crisis and effectively move into the phase of economic growth. A decrease in the activity of effective lending in the mortgage market sector; A shortage of credit liquidity; a decrease in effective demand in the global economy; this may arise due to the impact of an increase in excess production and inventories [5,6,9]. But the discovery of

new models for preventing new crises in the future is also considered not yet studied.

The history of the global economic and financial crisis

Looking at the statistics, it becomes clear that since the 19th century, crises have occurred every 10 years [8]. According to Reinhart and Rogoff [26], GFC poses the same threat to everyone. According to Professor of Oxford University and historian Philip Kay, the first GFC in world history occurred in the Roman Republic in 88 BC [21].

In 1825, the first cyclical (periodic) crisis arose, associated with a massive influx of capital from England to Latin American countries, and the country's trade balance was disrupted. The volume of gold reserves in the country decreased, which led to a recession, an economic crisis. As a result, investments and exports to Latin American countries decreased, budget revenues in these countries were minimized [18].

The next crisis broke out in 1836, when B. Lived in Great Britain and the USA [23]. The crisis of 1847 engulfed all European and American countries [24]. The crisis of 1857 dealt a heavy blow to the economy of many countries, led to the bankruptcy of the financial sector in these countries. The cause of the crisis in these countries was the massive bankruptcy of railway companies, as well as the collapse of the stock market. The banking system in the world has gone bankrupt, production has declined [].

In 1873-1878, speculative price growth was observed in the markets of Germany, Austria and other European countries as a result of increased demand for loans in Latin America [18]. The same situation was repeated in 1890, when a number of countries stopped issuing loans [23]. The crisis of 1907 began in the United States and Great Britain, and then spread to France and

Italy [19,22,26]. There was also a global crisis in 1929-1933, and a deflation boom began in European countries. At this stage, countries such as France, Belgium, the Netherlands, Switzerland, began to buy gold for the US dollar and export it out of the country [19]. In 1948-1949, there was a local financial crisis that engulfed the United States and Canada [23].

In 1988-1993, the biggest crisis was also in the states of the Caucasus [2]. Thus, during the period of the expulsion of Western Azerbaijanis from their territories of residence and ethnic cleansing by Armenian separatists, the population growth in the Azerbaijan Democratic Republic and the first Karabakh War caused a severe economic and financial crisis. Production and imports in the oil and gas industry declined. The crisis that began in 2007-2008 and has lasted to the present day has had a negative impact on the banking sector around the world [1,17]. As a result, the economies of all countries have suffered recessions [3].

In 2020, a serious financial crisis broke out again in the global economy. The consequences of the global Covid-19 pandemic, which took humanity into the jungle, have not spared the world economy [11]. Thus, international trade relations have ceased, restrictions in logistics activities have appeared, and the tourism sector has collapsed in almost all countries. The closure of air and land routes led to the severance of business ties. Although the economy is in a paralyzed state in the short term, its recovery is long-term. According to the

International Monetary Fund, due to the complications of the pandemic, the global economy is recovering more slowly than expected, which leads to an artificial increase in prices [12]. During the pandemic, the income of the global economy decreased by 5% [15].

Joachim Fels, Global economic advisor at Pacific Investment Management, believes that a recession will soon begin in most countries of the world. "Governments of developed countries have spent trillions of dollars to return the economy to the most normal state during the pandemic. Thanks to this, unemployment in the United States sharply decreased in August and the situation in the housing market improved." The adviser added that due to the funds spent, the Chinese economy has recovered, production in Germany has increased. But, according to forecasts, it will not be easy to hold this position until the end of the year. Experts called 2020 a "lost year" because the economy is in a paralyzed state for an indefinite period [29]. What happened at that time affected all countries, so that all States felt the negative consequences of the crisis. Scientists believe that the main subject of the global GFC is United States, Europe and Russia economic financial crisis [12,13]. Economists believe that this is the first such event in the last 10 years, when, based on statistical indicators, in the context of the global crisis, the US economy shrank by 31.7%, the UK- by 24%, Spain-by 22.1%, France - by 19.2%, Turkey - by 9.9%, Russia - by 8.5%, Azerbaijan- by 7.2% (Fig.1).

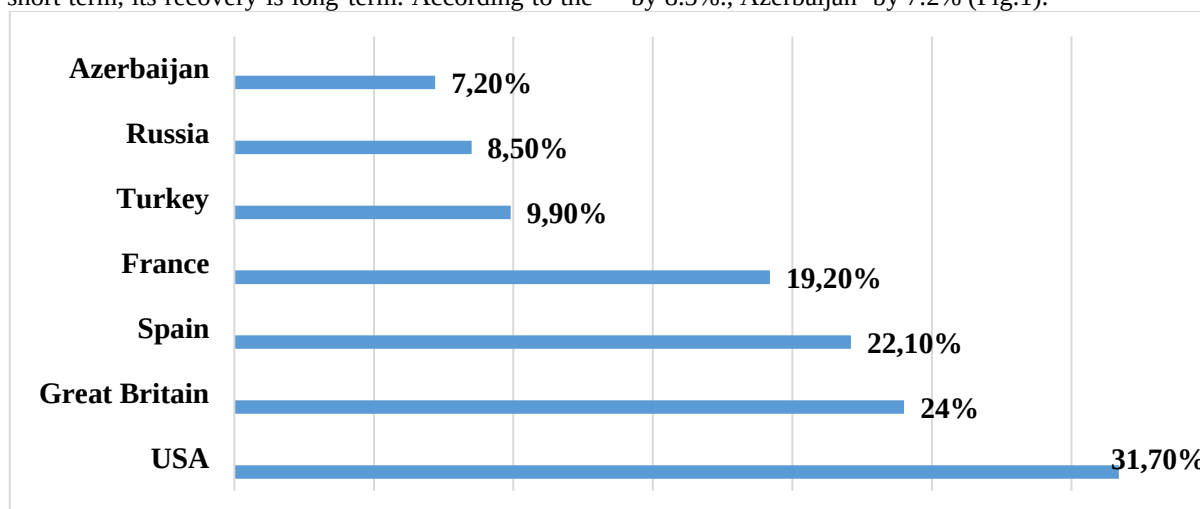


Figure 1. Indicator of % of the financial downturn in some countries during the economic crisis

As you can see, both in the United States and in a number of other European countries, the recession in the economy has reached a double-digit threshold. However, the economic power of Azerbaijan creates a favorable opportunity for the state to fight any crisis. If this had not happened, the economy of Azerbaijan, like other countries, would have been completely destroyed.

Discussion

Professor of the University of Anger, French economist D. Cayla believed that after the global crisis of 2007-2008, the set goals and reforms to change the financial system were minimal. According to the economist, finance is a factor shaping the economic system. If any mistakes happen in finance, the relations existing in the real economy also become broken. In his opinion,

today the needs of finance will not be met if the real economy is not regulated [19].

In Europe, during this economic financial crisis period, control over banks was established by a special body. Economists have strengthened protective barriers to expand their resources and were forced to create a collective reserve fund that could be used in the event of bankruptcy of one of them [13].

N. Roubini, an American economist, professor of economics at New York University and an employee of the London School of Economics B. According to Rosa, fiscal tightening is associated with a decrease in growth from 3% to 2%; slowing economic growth and rising inflation in China, Europe, Mexico, Canada and other countries; restrictions on incoming and exported investments, technology transfer, immigration, lack of

support for environmental investments; economic slowdown in developing countries; large public debt and the lack of the possibility of lowering interest rates. The absence of a global GFC causes. According to their forecasts, a global financial crisis will break out in 2020 and a recession will begin [27].

J. Attali proves that there will be serious forecasts regarding the development of the crisis and the transition from the financial to the economic state. The author writes: "the absence of the Big Planet program will lead to a crisis that will deeply affect the majority of enterprises, consumers, employees, depositors, creditors [7].

Former Deputy Governor of the Bank of Canada U. White also confirms the idea that there will be a global GFC in the coming years. He believes that the upcoming financial crash and the subsequent global recession may be worse than in 2008. White argues that with the growth of nationalist tendencies that hinder collective political action, the situation in the global economy can be extremely dangerous and long-term [16].

Mirkin Y.M. he extensively covered the concept of financial crisis in his scientific works, having studied its mechanism, types, causes, consequences and methods of overcoming them [14]. Former head of the US Federal Reserve System A. Grispin [10] and Director of the Institute of Modern Development Kindleberger [25] analyzing the crisis of 2007-2009, focused on such fundamental factors as macroeconomic imbalances and internal or external shocks, investigated the specific causes of crises. It turned out that the specificity of crises is due to their irrational nature.

Economy Minister According to M. Jabbarov's conclusions, during the COVID-19 pandemic, Azerbaijan's economy lost 120-150 million manats daily. The international rating agency Fitch Ratings, in its forecast for Azerbaijan at the beginning of the year, stated that the country's international reserves would be reduced by about \$ 10 billion [1].

Conclusion: According to the results of the literature reviews we reviewed, it turned out that a number of States during the period of economic financial crises received assistance from a number of their states in order to get rid of this crisis. A number of States affected by earthquakes, floods, wars, pandemics have not been able to successfully overcome these crises at the expense of their own internal resources. But both during the pandemic and during the war, the Republic of Azerbaijan coped with the crisis at the expense of its own resources and without external support. And this is despite the fact that Azerbaijan, which is going through the most powerful period of its history, is experiencing trials and difficulties and, of course, relies on the capabilities of the national economy, strengthened under the leadership of Mr. Ilham Aliyev. The anti-crisis measures implemented in the country, the achievement of positive dynamics in the fight against the coronavirus confirm that Mr. Ilham Aliyev pursued a systematic policy in the field of reducing the socio-economic consequences of the pandemic.

Even today, our republic is taking various measures to avoid a financial crisis. For this purpose,

our country has developed a national development model. Within the framework of this model, our state has created and is currently implementing an effective reform program. It also shows that our state pursues a free policy in the world and does not depend on any state.

Thus, the countries of the world, as well as our republic, have developed unique models for overcoming the crisis, and the anti-crisis steps taken within the framework of these models are effective.

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